advice businesses the flexibility to satisfy their compliance obligations in a customized and cost-effective manner and avoid exacerbating the challenges posed by timing and logistical constraints,[333] while achieving the objective of ensuring that proxy voting advice businesses' clients have timely access to more transparent, accurate, and complete information upon which to base voting decisions. We believe such an approach addresses a number of concerns raised by commenters, is better equipped to fit the needs of participants in the proxy voting process, and will be adaptable as circumstances change.

b. Policies and Procedures to Facilitate Informed Decision-Making by Clients of Proxy Voting Advice Businesses [Rule 14a-2(b)(9)(ii)]

Consistent with the discussion above, we are adopting new Rule 14a-2(b)(9)(ii) to require, as a separate condition to the availability of the exemptions in Rules 14a-2(b)(1) and (b)(3), that a proxy voting advice business[334] adopt and publicly disclose written policies and procedures reasonably designed to ensure that:

(A) Registrants that are the subject of proxy voting advice have such advice made available to them at or prior to the time when such advice is disseminated to the proxy voting advice business's clients;[335] and

[333] *See* Proposing Release at 52, n. 135.

[334] As adopted, Rule 14a-2(b)(9) defines "proxy voting advice business" as "a person furnishing proxy voting advice covered by § 240.14a-1(l)(1)(iii)(A)." Some commenters opposed the use of this term. *See* letters from ISS (stating generally with respect to proposed Rule 14a-9 that the Commission should refer to entities subject to the rules as "proxy advisers" or "proxy advisory firms," rather than creating a new term ("proxy voting advice business")); CII IV (asserting that there is no evidence that the current terminology is inadequate). While we acknowledge commenters' concern about introducing a new term to the proxy rules, we believe that it is appropriate to clarify the type of proxy voting advice that the new rules are intended to address and accordingly scope in businesses that provide such advice, rather than basing application of the rules on the types of businesses that currently provide such services. We believe this avoids inadvertently scoping in other services that such businesses may provide, and also provides flexibility for the rule to address future business models that may involve the type of advice the rules are intended to address.

[335] Rule 14a-2(b)(9)(ii)(A).

(B) The proxy voting advice business provides its clients with a mechanism by which they can reasonably be expected to become aware of any written statements regarding its proxy voting advice by registrants that are the subject of such advice, in a timely manner before the shareholder meeting (or, if no meeting, before the votes, consents, or authorizations may be used to effect the proposed action).[336]

While we appreciate the input of commenters that recommended we adopt the more prescriptive requirements of the proposed rule with modifications,[337] we believe that the objectives of the rule are better achieved through a principles-based requirement that is firmly rooted in our historic and proven disclosure framework and will provide proxy voting advice businesses with the ability to tailor their policies and procedures to ensure compliance with the requirements on a basis that is efficient and best serves the evolving needs of their clients and the practical realities of their individual business models.

i. Notice to Registrants and Safe Harbor

Paragraph (A) of Rule 14a-2(b)(9)(ii) reflects the Commission's judgment that effective engagement between proxy voting advice businesses and registrants, in which registrants are timely informed of proxy voting advice that bears on the solicitation of their shareholders, will further the goal of ensuring that proxy voting advice businesses' clients have more complete, accurate, and transparent information to consider when making their voting decisions. This will, by extension, benefit the shareholders on whose behalf those clients may be voting.

As adopted, 17 CFR 240.a-2(b)(9)(ii)(A) ("Rule 14a-2(b)(9)(ii)(A)") does not dictate the manner or specific timing in which proxy voting advice businesses interact with registrants, and

[336] Rule 14a-2(b)(9)(ii)(B). *See infra* Section II.C.3.c. for a discussion of Rules 14a-2(b)(9)(v) and (vi), which exclude certain types of proxy voting advice from the application of Rule 14a-2(b)(9)(ii).

[337] *See, e.g.*, letters from BRT; Exxon Mobil; GM; MFA & AIMA; MSBA; Nasdaq; Scott Hirst, Assoc. Prof., Boston University Law School (Feb. 3, 2020) ("Prof. Hirst"); Representatives Bryan Steil, et al., U.S. House of Representatives (Jan. 6, 2020) ("Rep. Steil"); SCC I.

instead leaves it within the discretion of the proxy voting advice business to choose how best to implement the principles embodied in the rule and incorporate them into the business's policies and procedures. The rule does not require that proxy voting advice businesses provide registrants or other soliciting persons[338] with the opportunity to review proxy voting advice in advance of its dissemination to the businesses' clients, although providing registrants with the opportunity to review their proxy voting advice in advance would satisfy the principle and is encouraged to the extent feasible.[339] The rule requires that proxy voting advice businesses must have adopted and publicly[340] disclosed policies and procedures reasonably designed to ensure that proxy voting

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[338] We believe that it could have been unduly burdensome on proxy voting advice businesses to extend the requirements of Rule 14a-2(b)(9)(ii)(A) to other soliciting persons (in addition to the relevant registrants). We are mindful of the costs and potential logistical complications that could arise if a proxy voting advice business were required to ensure that multiple soliciting persons were informed of its proxy voting advice in a timely manner. Notwithstanding such costs and potential complications, proxy voting advice businesses may structure their policies and procedures to inform other soliciting persons of their proxy voting advice if they wish to do so. Further, as we noted in the Proposing Release, neither shareholder proponents nor persons conducting exempt solicitations are required to file substantive disclosure documents with the Commission or to make public statements. Proposing Release at 66532. Because such disclosure documents and public statements generally contain substantive information that likely would form the basis of proxy voting advice businesses' analyses, there may be an information asymmetry as to proxy voting advice provided with respect to registrants' solicitations as compared to shareholder proponents' or exempt solicitations. Consistent therewith, we stated in the Proposing Release that proxy voting advice businesses would be required to extend the proposed review and feedback and final notice opportunities to parties other than the registrant only in those instances in which the registrant's solicitation is contested by soliciting persons who intend to deliver their own proxy statements and proxy cards to shareholders. *Id.* However, as discussed below (*see infra* Section II.C.3.c.ii.), we are adopting Rule 14a-2(b)(9)(vi) that, in part, excludes from the requirements of Rule 14a-2(b)(9)(ii) the portions of the proxy voting advice that relate to solicitations regarding contested matters, regardless of who is making such solicitation. *See* Rule 14a-2(b)(9)(vi).

[339] As noted above, we understand that certain proxy voting advice businesses currently provide at least some issuers with the opportunity to review and respond to their proxy voting advice in advance of its dissemination to their clients. *See* Proposing Release at 66529 ("In the United States, ISS offers the constituent companies of the Standard and Poor's 500 Index the opportunity to review a draft of ISS' voting advice before it is delivered to clients. Glass Lewis has a program that allows registrants who participate to receive a data-only version of its voting advice before publication to clients."). Although such advance review opportunity is not required by Rule 14a-2(b)(ii), we encourage proxy voting advice businesses that are currently providing registrants with this opportunity to continue doing so as it furthers the objectives of this rule.

[340] The requirement that such policies and procedures be "publicly" disclosed would be satisfied if, for example, they were publicly available on a proxy voting advice business's website. This is consistent with the approach that at least some proxy voting advice businesses are currently taking with respect to the opportunities they provide registrants to review their proxy voting advice. *See, e.g.*, GLASS LEWIS, REPORT FEEDBACK STATEMENT (last visited June 11, 2020), *available at* https://www.glasslewis.com/report-feedback-statement/; ISS, ISS DRAFT REVIEW PROCESS FOR U.S. ISSUERS (last visited June 11, 2020), *available at* https://www.issgovernance.com/iss-draft-review-process-u-s-issuers/. Given the flexibility that proxy voting advice businesses have with respect to the method by which they satisfy the principle set forth in Rule 14a-2(b)(9)(ii)(A), we believe that the public disclosure of such policies and procedures is critical to ensuring that registrants understand how they can become informed of the relevant proxy

advice[341] is made available to registrants "at or prior to the time when such advice is disseminated to the proxy voting advice business's clients."[342] The rule does not, however, require proxy voting advice businesses to ensure that proxy voting advice be made available to registrants after being initially provided to clients, if it is later revised or updated in light of subsequent events, as we recognize that such a requirement could be unduly burdensome given the timing constraints of the proxy process. We believe the final rules continue to advance the Commission's interest in improving the mix of information available to shareholders in a manner that is compatible with the complex and time-sensitive proxy voting advice infrastructure that currently exists and, in particular, the proxy voting advice businesses that many shareholders or those acting on their behalf use in connection with proxy voting, including meeting their voting obligations to investors.

In addition, paragraph (iii) of Rule 14a-2(b)(9) includes a non-exclusive safe harbor provision that, if followed, will give assurance to a proxy voting advice business that it has met the

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voting advice. We also believe that the transparency created by such public disclosure may yield ancillary benefits, including increased assurance of compliance by proxy voting advice businesses with Rule 14a-2(b)(9)(ii).

[341] *See supra* note 7 for the definition of "proxy voting advice" as used in this release.

[342] Rule 14a-2(b)(9)(ii)(A). The goal of the principle is to provide registrants with enough time to respond to the proxy voting advice, should they choose to, sufficiently in advance of investors casting their final votes. Practically speaking, the most efficient way for proxy voting advice businesses to achieve this goal is to disseminate the reports containing their proxy voting advice to registrants (or otherwise provide registrants with access to such reports) either at the same time or before they disseminate such reports to their clients.

We recognize that some commenters that supported the proposed rules indicated that even when registrants do have the opportunity to review proxy voting advice in advance, they do not have sufficient time for a thorough review and response. *See supra* note 258 and accompanying text. Although the proposed advanced review and feedback process likely would have afforded registrants more lead time to review and respond to proxy voting advice, we are conscious of the corresponding costs that other commenters identified. *See infra* notes 351-355 and accompanying text. We further note that even if some clients of proxy voting advice businesses make their voting decision after receiving such businesses' recommendations but before the registrant has had the opportunity to respond thereto, those clients retain the ability to change their vote prior to the meeting date. Under the final rules, therefore, registrants should have the opportunity to respond to proxy voting advice sufficiently in advance of the meeting date. Accordingly, clients of proxy voting advice businesses are more likely to become aware of a registrant's response pursuant to Rule 14a-2(b)(9)(ii)(B) and should have the opportunity to consider whether to adjust their votes based thereon. *See infra* note 387 and accompanying text.

principles-based requirement of new Rule 14a-2(b)(9)(ii)(A). In accordance with this safe harbor, a proxy voting advice business will be deemed to satisfy Rule 14a-2(b)(9)(ii)(A) if it has written policies and procedures that are reasonably designed to provide registrants with a copy of its proxy voting advice, at no charge, no later than the time it is disseminated to the business's clients.[343] Such policies and procedures may include conditions requiring that such registrants have:

(A) Filed their definitive proxy statement at least 40 calendar days before the shareholder meeting;[344] and

(B) Expressly acknowledged that they will only use the proxy voting advice for their internal purposes and/or in connection with the solicitation and it will not be published or otherwise shared except with the registrant's employees or advisers.[345]

Under this safe harbor, the proxy voting advice business may structure its written policy however it wishes so long as the policy has been reasonably designed to provide[346] any registrant that meets the conditions of (A) and (B) above with a copy of the business's proxy voting advice with respect to that registrant at least concurrently with the delivery of such advice to its clients.[347]

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[343] Rule 14a-2(b)(9)(iii).

[344] Rule 14a-2(b)(9)(iii)(A). Where the registrant is soliciting written consents or authorizations from shareholders for an action in lieu of a meeting, a proxy voting advice business's written policies and procedures may require that the registrant must file its definitive soliciting materials at least 40 calendar days before the action is effective in order to receive a copy of its proxy voting advice.

[345] Rule 14a-2(b)(9)(iii)(B).

[346] In terms of the method by which a proxy voting advice business provides a copy of its advice to a registrant, it could do so by, for example, sending the registrant an email either attaching an electronic copy of the relevant report or including an active hyperlink to the report.

[347] Under the terms of the safe harbor, registrants are not required to reimburse proxy voting advice businesses for the cost of providing a copy of the proxy voting advice. *See* Rule 14a-2(b)(9)(iii). While some commenters favored a requirement that registrants reimburse proxy voting advice businesses for reasonable expenses associated with the proposed review and feedback period (*see* letters from CII IV; New York Comptroller II), others asserted that proxy voting advice businesses should not be able to seek reimbursement from registrants for the costs to provide their reports (*see* letters from Exxon Mobil; GM; NAM; SCG).

For purposes of the safe harbor, we believe that the benefit to investors of more timely, complete, and reliable information upon which to make informed voting decisions should not be lessened by making a registrant's ability to

We believe the 40 calendar-day aspect of the safe harbor[348] affords the proxy voting advice business a reasonable amount of time to provide the advisory materials to registrants, without adversely affecting the business's ability to provide timely voting advice to its clients. Proxy voting advice businesses perform much of the work related to their voting advice only after the filing of the definitive proxy statements describing the matters presented for a proxy vote and are subject to time pressure to deliver their research and analysis to their clients sufficiently in advance of the shareholder meeting.[349] Accordingly, we do not believe that it would be practicable to impose additional administrative and logistical burdens on proxy voting advice businesses in cases in which registrants' definitive proxy statements are filed closer to the date of the shareholder meeting.[350] However, if they wish to do so, proxy voting advice businesses may structure their policies to accommodate registrants that may file less than 40 calendar days before the shareholder meeting and remain within the safe harbor.

The concurrent dissemination of proxy voting advice to clients and registrants specified in

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review proxy voting advice dependent on the registrant's willingness to pay for it. See *infra* note 412 for our discussion of how the final rules address certain comments we received on the proposed rules expressing concern regarding the takings clause of the Fifth Amendment.

[348] Rule 14a-2(b)(9)(iii)(A).

[349] *See e.g.,* letters from CII IV; Glass Lewis II; ISS (describing the timing and processes involved in the preparation and delivery of their proxy voting advice to clients). *See also* Proposing Release at 66531, n. 119.

[350] Based on the information we received from commenters, it is our understanding that 40 calendar days prior to the shareholder meeting is well within the customary range when definitive proxy statements are filed. *See e.g.,* letters from CII IV; Glass Lewis II. By comparison, we note that the Commission's proposal would have required proxy voting advice businesses to provide registrants with an opportunity for advance review and feedback of the proxy voting advice if the registrant filed its definitive proxy statement at least 25 calendar days before the shareholder meeting. *See* proposed Rule 14a-2(b)(2)(9)(ii); Proposing Release at 66531. We also note that such 40 calendar day-period exceeds the minimum number of days that some proxy voting advice businesses currently require that registrants file their definitive proxy statements prior to the shareholder meeting in order to review at least a portion of their proxy voting advice in advance of its dissemination. *See, e.g.*, GLASS LEWIS, ISSUER DATA REPORT (last visited June 11, 2020), *available at* https://www.glasslewis.com/issuer-data-report/ (noting that in order for a registrant to review an issuer data report in advance of the proxy voting advice being disseminated to clients, registrants must "disclose their meeting documents at least 30 days in advance of their meeting date"); ISS, ISS DRAFT REVIEW PROCESS FOR U.S. ISSUERS (last visited June 11, 2020), *available at* https://www.issgovernance.com/iss-draft-review-process-u-s-issuers/ ("To ensure timely delivery of our analyses to our clients, we cannot provide a draft to any company that files its definitive proxy less than 30 days before its meeting.").

the safe harbor addresses concerns expressed by commenters that the proposed review mechanism, which would have allowed registrants to review and provide feedback on voting advice before distribution to the clients of proxy voting advice businesses, could have undermined the ability of proxy voting advice businesses to provide impartial advice to their clients,[351] increased the risk of insider trading of material non-public information,[352] and impinged on proxy voting advice businesses' rights of free speech.[353] As discussed above, several commenters objected on the grounds that permitting registrants to review and comment on draft proxy voting advice in advance of a proxy voting advice business's clients would interfere in shareholders' communications with their advisors on matters subject to a vote.[354] In particular, some commenters argued that the review process, as proposed, gave preferential treatment to registrants over a proxy voting advice business's own clients and would tend to promote management's interests because it allowed registrants to influence the content of advice at a critical stage of its production without granting similar access to shareholders.[355]

Several commenters who were opposed to the concept of advance review suggested concurrent review as a preferable alternative.[356] In the view of such commenters, a concurrent

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[351] *See supra* note 269. We believe that the concurrent dissemination of proxy voting advice to clients and registrants pursuant to the safe harbor will achieve the objectives of this rulemaking and address commenters' concerns regarding a registrant's practical ability to review, consider, and respond to proxy voting advice. *See supra* note 342.

[352] *See supra* note 272. Proxy voting advice may, depending on the facts and circumstances, constitute material, non-public information. We expect proxy voting advice businesses, their clients, and registrants receiving non-public information in this process to take reasonable measures to safeguard any material, non-public information in their possession by, for example, adopting and implementing effective policies and procedures to ensure that its use and dissemination is consistent with applicable law. *See also infra* note 400; *Institutional S'holder Servs. Inc.*, Release No. IA-3611, 106 S.E.C. Docket 1681, 2013 WL 11113059, at *5 (May 23, 2013) ("In this case, ISS violated Section 204A [of the Advisers Act] because it failed to establish and enforce policies and procedures reasonably designed to prevent the misuse of ISS' shareholder advisory clients' material, nonpublic proxy voting information.").

[353] *See supra* note 288.

[354] *See supra* notes 276-277.

[355] *See supra* note 268.

[356] *See supra* note 295.

review would provide registrants with access to proxy voting advice, but it would be on an equal footing with the clients of proxy voting advice businesses and therefore would avoid many of the potential adverse consequences that commenters associated with mandating an opportunity for registrants' advance review.[357] We agree with this approach and believe that, for example, the receipt of a copy of proxy voting advice by a registrant who is the subject of such advice no later than the date upon which it is distributed to the proxy voting advice business's clients would bring about many of the same benefits for which the proposed registrant review was intended, particularly in conjunction with (1) a registrant's ability to file additional soliciting materials to communicate their views regarding the advice to shareholders and (2) the new requirement, described below,[358] that proxy voting advice businesses adopt written policies and procedures reasonably designed to ensure that they provide clients with a mechanism by which they can become aware of a registrant's statements of its views about such advice in a timely manner.

Under the proposed rules, a proxy voting advice business would have been able to require registrants to enter into confidentiality agreements for materials provided during the proposed review and feedback period as a condition of receiving the proxy voting advice on terms "no more restrictive" than similar types of confidentiality agreements the business has with its clients, which would cease to apply once the business released its proxy reports to clients.[359] Some commenters suggested this formulation would be unworkable in practice because the confidentiality agreements used with clients were not comparable and therefore would not be a suitable template.[360] In addition, commenters objected to the mandated cessation of the registrant's

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[357] *Id*.

[358] *See infra* Section II.C.3.b.ii.

[359] *See* Note 2 to paragraph (b)(9)(ii) of proposed Rule 14a-2(b)(9); Proposing Release at 66532.

[360] *See, e.g.,* letter from SES (asserting that needing to sign individual confidentiality agreements between every issuer and proxy voting advice business would be cumbersome "without any tangible benefit").

confidentiality agreement, as the risk of harm that would be suffered by the proxy voting advice business due to misuse of its confidential information could continue well into the future.[361] Moreover, a number of commenters expressed concern that requiring confidentiality agreements between proxy voting advice businesses and registrants would necessitate the parties' negotiation over contractual terms, an additional complication that could mire the proposed review and feedback process, and therefore the timely provision of voting advice to shareholders, in unmanageable delays.[362] Some commenters also noted that such negotiation would be costly.[363]

We believe that shifting to a principles-based requirement, which allows the report to be provided to registrants at the same time it is provided to clients, should eliminate or mitigate many of the concerns expressed. In light of these changes, we believe that negotiating a formal confidentiality agreement may not be necessary in all circumstances. We therefore believe it is appropriate to make clear that a proxy voting advice business may receive assurances from a registrant regarding the use of the proxy voting advice through less prescriptive means. Accordingly, paragraph (B) of the safe harbor in Rule 14a-2(b)(9)(iii) permits proxy voting advice businesses to include in their policies and procedures conditions requiring registrants to limit their use of the advice in order to receive a copy of the proxy voting advice. Such written policies and procedures may, but are not required to, specify that registrants must first acknowledge that their use of the proxy voting advice is restricted to the registrant's own internal purposes and/or in connection with the solicitation and will not be published or otherwise shared except with the

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[361] *See, e.g.,* letter from Glass Lewis II (recommending that the Commission remove the statement in the proposal that any confidentiality agreement "shall cease to apply once the proxy voting advice business provides its advice to one or more recipients").

[362] *See, e.g.,* letter from Olshan LLP (stating that the proposal significantly underestimates the time and expense of negotiating confidentiality agreements and providing detailed reasons as to why the proposal would be so time consuming and costly).

[363] *See infra* note 613.

registrants' employees or advisers.[364] Such acknowledgement could take a variety of forms at the discretion of the proxy voting advice business, including with respect to the duration of the acknowledgment. For example, a policy under the safe harbor could specify that the acknowledgement can or must be in the form of a written representation or an oral acknowledgement, or the policy could prescribe that a registrant must check a box or provide another electronic means of confirming that the registrant agrees to standardized terms of service before the materials could be accessed. To qualify for the safe harbor, the terms of the acknowledgement could not be more restrictive than those set forth in paragraph (B); however, if a proxy voting advice business wishes to impose more tailored or restrictive conditions, it could do so outside of the safe harbor, provided the policies and procedures do not unreasonably inhibit timely notice to the registrant consistent with the principles-based requirements of 14a-2(b)(9)(ii)(A).

We also note that, unlike the proposal, the safe harbor does not mandate the provision of draft proxy voting advice to registrants before dissemination to clients of the proxy voting advice business, which, as commenters noted, poses a higher risk of unintentional or unauthorized release of the information and its potential misuse.[365] Instead, compliance with the safe harbor requires only that the proxy voting advice business provide its voting advice to registrants no later than the time it is released to the business's clients.

A proxy voting advice business that has a policy in place that satisfies the principles-based

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[364] A registrant's advisers would include, for example, its attorneys and proxy solicitors.

[365] *See, e.g.*, letters from Clem Geraghty, Ardevora Asset Management LLP (Nov. 27, 2020) ("Ardevora"); CII IV; Elliott I; ISS (expressing concern that the proposal would require a proxy voting advice business to disclose material non-public information to any registrant or eligible soliciting person who signs a confidentiality agreement, even if that party is a known insider trader, and stating that such an outcome would interfere with the proxy voting advice business's obligations under the Investment Advisers Act to establish, maintain, and enforce policies and procedures reasonably designed to ensure compliance with insider trading laws); SES (noting that the proposal could result in certain company statements and information being made available to proxy voting advice businesses and their clients, but not to other shareholders).